

PhonePe- Growth of UPI and Digital Payments

Introduction

In recent years, India has witnessed a remarkable transformation in the way people make payments. Traditionally, cash was the most common method of conducting transactions, whether for purchasing goods, paying bills, transferring money, or receiving payments. However, the rapid development of technology, smartphones, affordable internet services, and digital banking has changed this situation significantly. Today, digital payments have become an important part of everyday life. People can transfer money, pay for products and services, recharge mobile phones, pay utility bills, and make online purchases within a few seconds. Among the various digital payment systems available in India, the Unified Payments Interface (UPI) has played a major role in bringing this transformation.

UPI is an instant payment system developed by the National Payments Corporation of India (NPCI). It allows individuals to transfer money directly from one bank account to another using a mobile phone. One of the major advantages of UPI is that it provides a simple and convenient way of making payments without requiring users to remember complicated bank account details for every transaction. Users can make payments using a UPI ID, mobile number, or by scanning a QR code. This has made digital payments easier not only for individuals but also for small shops, street vendors, businesses, and service providers.

The introduction and rapid expansion of UPI have contributed greatly to the growth of India's digital economy. UPI has made electronic payments faster, easier, and more accessible to people across the country. Even small-value transactions, such as buying groceries, paying for tea, purchasing stationery, or paying an auto-rickshaw driver, can now be completed digitally. The widespread use of QR codes has further increased the acceptance of digital payments among small businesses and local merchants. As a result, digital payments are no longer limited to large cities or online shopping platforms; they have become a part of everyday transactions in towns and villages as well.

One of the major applications that has contributed to the popularity of UPI is PhonePe. PhonePe was launched in 2016 and has grown into one of India's major digital payment platforms. The application allows users to make UPI payments directly through their smartphones. In addition to money transfers, PhonePe provides various services such as mobile recharges, bill payments, online shopping, insurance-related services, and other financial services. Its simple interface and widespread merchant acceptance have helped make digital payments more convenient for a large number of users.

PhonePe has played an important role in encouraging people to adopt UPI for their daily financial transactions. A customer can simply open the application, scan a merchant's QR code, enter the required amount, and complete the payment using their UPI PIN. This process is considerably faster and more convenient than handling cash, particularly for small everyday purchases. Merchants also benefit because they can accept digital payments without needing expensive card machines. A simple QR code can allow a small business to receive payments directly into its bank account.

The growth of PhonePe is closely connected with the overall growth of UPI in India. As more people began using smartphones and digital banking services, the demand for quick and convenient payment methods increased. PhonePe helped meet this demand by providing an easy-to-use platform for UPI transactions. The increasing number of merchants accepting PhonePe and other UPI-based payments has created a network effect: customers find digital payments more useful when more merchants accept them, while merchants are more willing to accept them when more customers use digital payments.

The growth of digital payments has also supported the idea of a cashless and less-cash economy. Digital transactions reduce the need to carry physical currency and can make payments more convenient and trackable. Consumers can view their transaction history through their banking or payment applications, while businesses can receive payments directly into their bank accounts. Digital records can also help individuals and businesses keep better track of their financial activities.

Another important factor behind the growth of digital payments is the increasing use of smartphones and internet connectivity. As smartphones have become more affordable and mobile internet has become widely available, more people have gained access to digital financial services. This has created opportunities for people who may previously have depended mainly on cash. UPI has helped connect banking services with everyday digital activities, making financial transactions possible with just a mobile phone.

The growth of UPI and platforms such as PhonePe has also had an impact on businesses. Small retailers and local merchants can now accept payments from customers without depending entirely on cash. Digital payment systems can make transactions quicker and provide electronic records of payments. For customers, digital payments offer convenience, speed, and flexibility. For businesses, they can provide a simple method of receiving payments and participating in the growing digital economy.

Digital payments have also become particularly important for online commerce. E-commerce websites, food delivery services, transportation applications, educational platforms, and subscription services commonly provide UPI as a payment option. Customers can complete payments without entering lengthy card details or handling cash. This has helped integrate digital payments into many areas of modern life.

However, the growth of digital payments also brings certain challenges. Cybersecurity, online fraud, privacy, internet connectivity, and lack of digital awareness are important concerns. Users need to understand that they should never share their UPI PIN, passwords, or other confidential banking information with unknown persons. Increasing awareness about safe digital payment practices is therefore essential for the continued growth of UPI.

Overall, the development of UPI represents a major milestone in India's digital transformation. It has changed the way people and businesses exchange money by making transactions faster, simpler, and more accessible. PhonePe has been one of the important platforms contributing to this transformation by providing users and merchants with

convenient access to UPI-based payments. The growing adoption of PhonePe and other digital payment platforms demonstrates how technology can influence consumer behaviour, business practices, and the overall financial system.

Therefore, the topic “PhonePe – Growth of UPI and Digital Payments” is important for understanding the development of India's digital payment ecosystem. Studying PhonePe provides an opportunity to examine how a digital payment platform has grown alongside UPI, how consumers and businesses have adopted digital transactions, and how digital payments are contributing to India's movement towards a more connected and technology-driven economy.

Review Of Literature:

Selvan (2021) examined the factors influencing users of the Unified Payments Interface (UPI) in India. The study highlighted that UPI was becoming one of the preferred methods of digital transactions because of its convenience and increasing availability through banking and mobile applications. The study also examined various factors influencing users' adoption and use of UPI and showed the growing importance of UPI in India's digital payment ecosystem.

Ganapathyraman and Sugumaran (2021) studied UPI transactions as a digital banking tool in Chennai. Their study examined users' awareness, satisfaction and problems related to UPI transactions. The researchers observed that the introduction of UPI had significantly contributed to the development of real-time digital payments in India. Their findings indicate that convenience, awareness and user satisfaction are important factors in the continued growth of UPI-based payments.

Kedia, Reddy and Shukla (2024) examined the diffusion of digital payments in India using data from PhonePe Pulse. Their study analysed payment adoption across different states and districts and explored how digital payments have expanded across India. The study showed that the diffusion of digital payments varies across regions and is associated with socio-economic factors. Since the study uses PhonePe data, it provides particularly useful background for understanding PhonePe's role in the expansion of India's digital payment ecosystem.

Sahoo, Patnaik and Satpathy (2024) conducted a literature review on the adoption of UPI in India. They identified ease of use, interoperability and security as important factors contributing to UPI's rapid adoption. The study also discussed the contribution of UPI to financial inclusion, digital literacy and the reduction of dependence on cash transactions. Their findings suggest that the simplicity and accessibility of UPI have played an important role in transforming India's payment system.

Bala and Sharma (2025) reviewed the factors influencing digital payment adoption among Indian consumers. Their study considered demographic, technological, economic, psychological, social and policy-related factors affecting digital payment usage. The authors highlighted the importance of technological development, smartphone

penetration, government initiatives and financial inclusion in encouraging consumers to adopt digital payment methods such as UPI.

Kiran and Sailaja (2025) examined UPI adoption and usage through the Unified Theory of Acceptance and Use of Technology (UTAUT). Their study highlighted the importance of factors such as ease of use, security, user experience and widespread acceptance in the growth of UPI. The researchers noted that UPI has become an important part of everyday digital transactions in India, with applications such as PhonePe, Google Pay and Paytm contributing to its widespread adoption.

Rao and Upadhyaya (2026) studied the acceptance of UPI payment applications among small-scale merchants in India. Their research examined the factors influencing merchants' intention to use and their actual use of UPI payment applications. The study highlighted the role of UPI as a digital public infrastructure supporting financial inclusion and digital payment acceptance among small businesses. This is relevant to PhonePe because merchant acceptance is an important factor in building a strong digital payment network.

Motheram and Buteau (2026) examined the supply-side factors influencing digital payment adoption across Indian districts using UPI ecosystem data from 2020 to 2024. Their study found that the development of merchant networks and digital infrastructure are important for expanding digital payment adoption. The researchers also noted the significant position of PhonePe within the UPI ecosystem, making the study useful for understanding PhonePe's contribution to the wider growth of digital payments in India.

Objectives:

1. To study the growth and development of PhonePe in the Indian digital payment industry.
2. To understand the concept and functioning of the Unified Payments Interface (UPI).
3. To analyse the growth of UPI transactions and digital payments in India.
4. To examine the role of PhonePe in promoting UPI-based transactions among consumers and merchants.

Company Profile

PhonePe is an Indian digital payments and financial services company founded in December 2015 by Sameer Nigam, Rahul Chari and Burzin Engineer. The PhonePe app went live in 2016 and became one of India's leading UPI-based payment platforms. Its services include sending and receiving money, mobile recharges, bill payments, online and offline merchant payments, travel bookings and other financial services.

PhonePe has expanded beyond digital payments into insurance, lending and wealth/investment services, while also operating newer consumer platforms such as Share. Market and Indus Appstore. As of July 2026, PhonePe reported 718 million lifetime

registered users, 50+ million lifetime registered merchants and 11 billion customer transactions in July 2026.

Structure of Analysis

Strengths

- 1.Strong position in India's digital payments market.
- 2.Large customer and merchant network.
- 3.Strong UPI presence.
- 4.Wide range of payments services.
- 5.Expansion into insurance, lending, and wealth.

Weaknesses

- 1.Heavy dependence on the digital-payment ecosystem.
- 2.High technology and infrastructure costs.
- 3.Intense competition in fintech.
- 4.Profitability changes can affect operations.
- 5.Regulatory changes can affect operations.

Opportunities

- 1.Rapid growth of UPI and digital payments.
- 2.Expansion into Tier 2, Tier 3, and rural markets.
- 3.Growth of cross-border UPI payments.
- 4.Increasing smartphone and internet usage.
- 5.Expansion of financial services.

Threats

- 1.Strong competition from other payment platforms.
- 2.Change in government and RBI regulations.
- 3.Cyberattacks and digital fraud.
- 4.Changing customer preferences.
- 5.Data privacy and security concerns.

Findings

The study finds that PhonePe has played a significant role in the growth of UPI and digital payments in India. The increasing use of smartphones, internet services and UPI has helped PhonePe expand its customer and merchant base. The platform has made digital

transactions easier by providing services such as money transfers, bill payments, mobile recharges and merchant payments through a single application. The study also finds that PhonePe has expanded beyond payments into financial services such as insurance, lending, investments and wealth management, which has helped diversify its business and revenue sources. At the same time, strong competition from other digital payment platforms, cybersecurity risks, regulatory changes and the need for continuous technological innovation are important challenges. Overall, the findings show that PhonePe has contributed to the increasing adoption of cashless transactions and digital financial services in India.

Business Model

PhonePe follows a digital platform-based business model that connects customers, merchants, banks and financial-service providers through its mobile application. Its main business is based on UPI payments, allowing users to send and receive money, pay bills, recharge mobile phones, and make online and offline merchant payments. PhonePe has also expanded its services into insurance, lending, mutual funds, stock investments and other financial products. By building a large network of customers and merchants, PhonePe creates an ecosystem where users can access multiple digital and financial services through a single platform. This diversified business model helps PhonePe increase customer engagement and expand its presence in India's growing digital economy.

Revenue Model

PhonePe follows a diversified revenue model rather than depending only on UPI transactions. The company generates revenue through payment and merchant-related services, financial-services distribution, and other digital businesses. It earns revenue from merchant services such as payment devices and subscriptions, while its financial-services business generates income by distributing products such as insurance, loans, mutual funds and investment services. PhonePe also receives eligible incentives associated with digital payments and earns revenue through newer businesses and platforms. This diversified approach helps the company reduce its dependence on a single source of income and supports its long-term growth in the digital payments and financial-services industry.

Conclusion

PhonePe has become an important part of India's growing digital payments ecosystem. The rapid development of UPI has helped the company reach a large number of customers and merchants and has made digital transactions faster and more convenient. PhonePe's expansion into insurance, lending, investments and other financial services has further strengthened its business model. At the same time, the company faces challenges from strong competition, cybersecurity threats and changing regulations. Therefore, continued innovation, customer trust, security and diversification will be important for PhonePe's future

growth. Overall, PhonePe's growth demonstrates how UPI and digital technology are transforming the way people and businesses make payments in India.

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